Example: Interest coverage of Fairbanks Morse Company Debenture 4s, due 1956, as of early 1938.

Interest charges, 1937	$232,000
Earned after interest and taxes, 1937	2,148,000
1937 interest earned	10.2 times
Total earnings after interest, 1928–30 and 1934–1937	11,740,000
Total deficits after interest, 1931–1933	8,873,000
Annual earnings after interest, 1928–1937	287,000
Indicated 10-year coverage for 1937 interest charges	2.2 times
Alternative basis for calculating the 10-year coverage:	
10-year average earnings after interest, counting 1931–1933 years as zero	$ 1,174,000
Revised 10-year coverage for 1937 interest charges	6.1 times
Stock-equity ratio	$3.42 of stock at market for each $1 of bonds at par

The second, or revised, average must be considered as a more realistic reflection of the company's earning power than the straight ten-year average, which fails to meet our minimum requirement. We trust, however, that from 1940 on it will be possible to use seven-year averages, or longer, without having to meet a similar problem.

Other Phases of the Earnings Record. There are, of course, a number of other aspects of the earnings picture to which the investor would do well to pay attention. Among these are the *trend*, the *minimum* figure, and the *current* figure. The importance of each of these cannot be gainsaid, but they do not lend themselves effectively to the application of hard and fast rules. In this case, as in the matter of mortgage security previously discussed, a distinction must be drawn between the few factors which can successfully be embraced by definite and universally applicable rules, and the many other factors which resist such exact formulation but must nevertheless be taken into account by the *judgment* of the investor.

Unfavorable Factors May Be Offset. The practical method of dealing with elements of the latter type may be illustrated in this matter of the earning exhibit. The investor must *demand* an average at least equal to the minimum standard. In addition, he will be *attracted* by: (a) a rising trend of profits; (b) an especially good current showing; and (c) a satis-